

## SMALL TOWN GROWTH OF TOP PLAYERS

- ▶ **Dr Lal PathLabs**  
Non-metro cities contribute 40% of revenue with steady growth from affordable services

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- ▶ **Metropolis Healthcare Ltd** Plans to reach 1,000 towns by FY26; Tier II, III contribute 34% of revenue, with 23% YoY growth from Tier III cities

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- ▶ **Thyrocare Technologies Ltd** Over 20% YoY growth in smaller cities, supported by franchise networks

- ▶ **Vijaya Diagnostic Centre Ltd** 50% new centres in FY24 were in smaller towns, contributing 30% to revenues

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- ▶ **Krsnaa Diagnostics Ltd** 75% of revenue comes from Tier II and III cities, with 100+ new centres added in FY24

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- ▶ **Agilus Diagnostics** 70% of customer touchpoints are in smaller cities, contributing 60% of revenue

have their sights set on further expansion, having gauged the potential of Tier I and Tier II cities. The company says that it is spreading its reach with the opening of 15-20 new labs in FY25.

At the same time, their expansion will fill a crucial healthcare gap in the cities that already contribute a significant portion of their revenue.

“Metropolis Healthcare’s focus on Tier II and Tier III towns stems from the critical need to bridge the gap in organised, high-quality diagnostic services in these regions,” says Chief Executive Officer Surendran Chemmenkotil.

“Historically, these markets have been underserved due to the dominance of unorganised players, limited healthcare infrastructure and low awareness of preventive healthcare. However, this is changing. Rising health

awareness, improving infrastructure, and growing demand for specialised diagnostics present vast opportunities for meaningful expansion,” he says.

### CHASING M&As

Other diagnostics firms, too, are chasing M&As while pursuing organic growth in small cities—from Agra and Kanpur in the north to Ernakulam and Coimbatore in the south, and Asansol and Bhubaneswar in the east to Nagpur and Navsari in the west.

In July 2024, Thyrocare Technologies Ltd signed a Business Transfer Agreement with Polo Labs Pvt. Ltd to acquire the latter’s pathology diagnostics unit, extending its presence in Northern India and strengthening its position in the industry.

Polo Labs, based in Punjab, operates 14 laboratories across Punjab, Haryana, and Himachal Pradesh.

“This strategic acquisition will enhance our diagnostic capabilities and service offerings, leveraging Polo Labs’ extensive network in North India,” says Rahul Guha, Managing Director and CEO of Thyrocare.

Hyderabad-based Vijaya Diagnostic Centre Ltd acquired a majority stake in Medinova Diagnostic Services as far back as in 2014 and, in 2024, bought the remaining 37.86% that it didn’t own for ₹13 crore.

Pune-based Krsnaa Diagnostics Ltd, which has been expanding since 2011 through PPPs, broadened its footprint with the purchase in September 2024 of a 23.53% stake in Pune-based Apulki Healthcare Pvt. Ltd, which operates cancer and cardiac care hospitals on the PPP model.



**“To fight deadly lifestyle diseases (65% of deaths), diagnostic firms must urgently screen all Indians aged over 30 for diabetes, hypertension, etc”**

**Dr. Arvind Lal**  
MANAGING DIRECTOR,  
DR LAL PATHLABS